BUSINESS STRATEGY & TECHNOLOGY

Suggested Answers
November-December 2024

Answer to the Question# 1(a) (i):

1. The success and failure of companies often result from a mix of strategy and luck. However, strategy tends to play a more critical role. A well-thought-out strategy can allow companies to navigate market dynamics, anticipate challenges, and capitalize on opportunities. Luck, on the other hand, might offer unexpected chances, but without a solid strategy, a company might not be able to effectively leverage these chances.
   .

Answer to the Question# 1(a) (ii):

In the case of Bill Gates and Microsoft, it was more about strategic thinking than luck. Gates saw an opportunity with IBM's need for an operating system and took decisive action by acquiring Q-DOS and transforming it into MS-DOS. His foresight, willingness to take calculated risks, and ability to negotiate made it a strategic triumph. While luck played a role in the timing and availability of Q-DOS, it was Gates' strategic maneuvers that ultimately led to the success.

Answer to the Question# 1(b) (i):

A winning strategy typically includes:

- Clear vision and goals.
- Deep understanding of the market and competitors.
- Strong value proposition and differentiation.
- Effective resource allocation and operational efficiency.
- Agility to adapt to changes and unforeseen events.
- Commitment and execution capabilities.

Answer to the Question# 1(b) (ii):

The collective strength of the five competitive forces (threat of new entrants, bargaining power of buyers, bargaining power of suppliers, threat of substitute products, and industry rivalry) can impact profitability. Generally, weaker competitive forces are more conducive to good profitability because they reduce pressure on the company. Conversely, stronger forces can limit profitability by increasing competition and costs. However, a solid strategy can help a company navigate these forces and maintain profitability.

Answer to the Question# 2

Modern Shoes Ltd

a) Calculate the price elasticity of demand for MSL's existing market:

Price elasticity of demand (PED) is calculated using the formula:

$$PED = \frac{\%\text{change in quantity demanded}}{\%\text{change in price}}$$

From the marketing director's information:

- Initial demand: 120,000 pairs
- New demand: 110,400 pairs
- Initial price: Tk 150
- New price: Tk 165

First, calculate the percentage change in quantity demanded:

$$\%\text{change in quantity demanded} = \frac{\text{New quantity} - \text{Initial quantity}}{\text{Initial quantity}} \times 100$$

%change in quantity demanded= $\frac{110,400-120,000}{120,000} \times 100 = -8$

Next, calculate the percentage change in price:

%change in price= $\frac{\text{New price} - \text{Initial price}}{\text{Initial price}} \times 100\%$

%change in price= $\frac{165-150}{150} \times 100 = 10\%$

Now, calculate the PED:

PED= $\frac{-8\%}{10\%} = -0.8$

b) Comment on the meaning of this price elasticity and its implications for MSL's pricing policy:

The price elasticity of demand for MSL's existing market is -0.8, indicating that the demand for MSL's shoes is inelastic. This means that the percentage change in quantity demanded is less than the percentage change in price. In other words, customers are not very sensitive to price changes.

Implications for MSL's pricing policy:

- MSL can increase prices without a proportionate decrease in sales volume, which could help improve profitability.
- However, the brand image and customer loyalty must be considered. A higher price might alienate some customers, especially if they perceive the quality to be lower (due to the new leather supplier).
- MSL should ensure that any price increase is justified by maintaining or enhancing the perceived value of their shoes.

c) Consider both proposals (potential contract with F&F and the marketing director's proposal) under the following headings:

i) Profitability of the proposal:

F&F Contract:

- Selling price per pair: Tk 45
- Variable cost per pair: Tk 30
- Contribution per pair: Tk 15
- Annual fixed cost increase: Tk 2 million
- Projected sales volume: 200,000 pairs

Total contribution=200,000×Tk15=Tk3,000,000

Profit=Total contribution−Additional fixed cost

Profit=Tk3,000,000−Tk2,000,000=Tk1,000,000

Marketing Director's Proposal:

- Increased selling price per pair to retailers: Tk 165
- Variable cost per pair: Tk 75 (after cost reduction)
- Contribution per pair: Tk 90
- Projected sales volume: 110,400 pairs

Total contribution=110,400×Tk90=Tk9,936,000

Profit=Total contribution−Fixed cost

Profit=Tk9,936,000−Tk9,000,000=Tk936,000

ii) Competitive positioning:

F&F Contract:

- Positions MSL in the mid-market segment.
- Risks diluting the brand's premium image.
- New market with unfamiliar competition.

Marketing Director's Proposal:

- Maintains the premium brand position.
- Focuses on existing market and leverages current brand equity.
- Competes on value and perceived quality.

iii) Marketing mix:

F&F Contract:

- Product: Mid-market, lower-quality shoes under F&F brand.
- Price: Lower price point.
- Place: Expanded distribution through F&F stores.
- Promotion: Limited association with MSL brand, potential risks to brand perception.

Marketing Director's Proposal:

- Product: High-quality, premium shoes.
- Price: Higher price point, justified by brand value.
- Place: Existing upmarket retailers.
- Promotion: Focus on premium brand positioning and quality.

iv) Risk:

F&F Contract:

- High risk due to new market and potential brand dilution.
- Financial risk from significant investment and reliance on F&F contract.
- Operational risk from required changes in production processes.

Marketing Director's Proposal:

- Lower risk as it focuses on existing market and operations.
- Risk of losing some price-sensitive customers.
- Potential quality perception issues with alternative leather supplier.

In summary, both proposals have their merits and risks. The F&F contract offers a significant revenue opportunity but poses high risks to brand positioning and operational changes. The marketing director's proposal maintains the brand's premium positioning and has a lower risk but relies on increasing prices and reducing costs to improve profitability.

Answer to the Question# 3(a):

By focusing only on the immediate short run, the following are often not considered in the cost analysis when trying to justify robots initially:

- Workers' compensation claims will be decreased dramatically because robots can be assigned to tasks that are hot, heavy, dull, dirty and hazardous. Robots can be designed to replace specific human tasks which involve repetitive movement of wrists and other body parts which result in many injury claims.
- Since it is difficult to quantify what financial impact an increase in product quality will have, no consideration is usually given to reduced product warranty claims, decreased lawsuit costs, improved public relations, and savings in management time spent in handling fewer customer's complaints.

However, the goal of having a best-quality product is appropriate only if this high quality product makes the company money.

- Increased contribution margin resulting from a larger quantity of output which can be sold.
- Improvements in flexibility and turnaround time are often not quantifiable.

Answer to the Question# 3(b):

One of the production managers wanted to install robots in settings where dust and fumes endangered workers, but the application he was considering did not show the direct labor savings initially desired. It is likely, then, that the robots will be installed in areas less dangerous to workers.

Answer to the Question# 4(a)(i):

i) Industry Life Cycle of the Airline Industry

The industry life cycle model outlines the stages an industry goes through from inception to decline:

1. **Introduction Stage**:
    - This is when the industry is in its infancy with few competitors and innovative products/services.
    - High investment in technology and infrastructure.
    - Limited customer base.
2. **Growth Stage**:
    - Rapid market acceptance and increasing sales.
    - New entrants into the market.
    - Expansion of routes and services.
    - Investment in marketing and customer acquisition.
3. **Maturity Stage**:
    - Market saturation with many competitors.
    - Focus on efficiency and cost reduction.
    - Price competition becomes intense.
    - Innovation slows down, and differentiation becomes challenging.
4. **Decline Stage**:
    - Decreasing demand as alternatives (e.g., high-speed trains, remote meetings) emerge.
    - Overcapacity and shrinking profit margins.
    - Consolidation and exit of weaker players.

The airline industry is largely in the **maturity stage**, characterized by intense competition, price wars, and efforts to reduce costs. However, specific regions might still exhibit growth characteristics due to varying levels of market development and demand.

ii) Porter's Five Forces Model for Competition in the Airline Industry

1. **Threat of New Entrants**:
    - High barriers to entry due to significant capital investment in aircraft, infrastructure, and regulatory requirements.

- Established brand loyalty and customer preferences.
- However, low-cost carriers have successfully entered the market, increasing competition.

2. **Bargaining Power of Suppliers**:
   - Aircraft manufacturers (e.g., Boeing, Airbus) and fuel suppliers have considerable bargaining power due to limited choices.
   - Labor unions also exert significant influence, driving up costs.
3. **Bargaining Power of Buyers**:
   - Passengers have high bargaining power due to availability of numerous options and price transparency through online booking platforms.
   - Loyalty programs and brand differentiation help mitigate this power somewhat.
4. **Threat of Substitute Products**:
   - Alternatives such as high-speed trains and remote conferencing pose a threat.
   - Short-haul flights face more significant substitution risk compared to long-haul international flights.
5. **Industry Rivalry**:
   - Intense competition among airlines, particularly between low-cost carriers and legacy airlines.
   - Price wars and efforts to offer superior service increase operational costs and reduce profit margins.

iii) Potential Strategies to Restore Profitability in the Airline Industry

1. **Cost Management and Efficiency**:
   - Streamline operations to reduce costs, such as adopting more fuel-efficient aircraft, optimizing flight routes, and improving turnaround times.
   - Implementing technology to enhance efficiency in booking, check-in, and baggage handling processes.
2. **Revenue Diversification**:
   - Expanding ancillary services (e.g., baggage fees, in-flight sales, premium seating) to boost non-ticket revenue.
   - Exploring partnerships and collaborations with other industries (e.g., hotels, car rentals) for bundled services.
3. **Differentiation and Customer Experience**:
   - Enhancing the customer experience through superior service, loyalty programs, and personalized offerings.
   - Investing in brand differentiation to build customer loyalty and reduce price sensitivity.
4. **Market Expansion**:
   - Identifying and entering new markets with growth potential, such as emerging economies with increasing demand for air travel.
   - Exploring niche markets and underserved routes.
5. **Strategic Alliances and Mergers**:
   - Forming alliances or mergers to achieve economies of scale, share resources, and expand network reach.

- Collaborating with other airlines for code-sharing agreements to improve route coverage and efficiency.

6. **Sustainability Initiatives**:
    - Investing in sustainable aviation fuel and carbon offset programs to address environmental concerns and meet regulatory requirements.
    - Promoting eco-friendly practices to attract environmentally conscious travelers.

By adopting a combination of these strategies, airlines can aim to improve profitability, adapt to market changes, and sustain their operations in the highly competitive and cyclical airline industry.

Answer to the Question# 4(b):

i) How Zoland Could Give Youngone PLC a Competitive Advantage in Export Operations

1. Regulatory Expertise:
    - Zoland's extensive legislation on car safety and the compulsory nature of child seats mean that Youngone PLC is well-versed in complying with stringent safety standards. This expertise can be a selling point in neighboring countries that might have similar or evolving safety regulations.
2. Brand Reputation and Quality:
    - Having established itself in a market with high safety standards, Youngone PLC can leverage its reputation for quality and safety when entering new markets. The association with a country known for strict safety legislation can enhance trust and credibility.
3. Efficient Supply Chain and Logistics:
    - Zoland's sophisticated economy and efficient capital markets, coupled with Just-In-Time (JIT) logistics, can ensure timely delivery and cost-efficiency. This operational efficiency can help Youngone PLC offer competitive pricing and quick response times in the export markets.
4. Market Knowledge and Adaptability:
    - The company's success in a competitive home market indicates a strong understanding of market dynamics and consumer needs. This knowledge can be adapted to understand and cater to the preferences and requirements of neighboring markets.
5. Established Supplier Relationships:
    - The Managing Director's connections with suppliers can ensure a steady supply of materials at competitive prices, maintaining cost-effectiveness in production as the company scales up for export.

ii) How a Benchmarking Programme Would Help Youngone PLC and How It Might Be Carried Out

Benefits of a Benchmarking Programme:

1. Improved Performance:
    - Benchmarking allows Youngone PLC to compare its processes and performance metrics with industry leaders or competitors. This can highlight areas where improvements are needed and identify best practices to adopt.
2. Enhanced Productivity and Quality:
    - By understanding how top-performing companies achieve high productivity and quality, Youngone PLC can implement similar strategies, leading to better manufacturing efficiency and product quality.
3. Strategic Planning:
    - Benchmarking provides valuable insights that can inform strategic decision-making, helping the company to set realistic goals and develop effective action plans.

4. Competitive Advantage:
    - Continuously improving through benchmarking can help Youngone PLC stay ahead of competitors, offering superior products and services.

Steps to Conduct Benchmarking:

1. Identify Objectives:
    - Determine what aspects of the business need improvement (e.g., production efficiency, quality control, customer satisfaction).
2. Select Benchmarking Partners:
    - Identify industry leaders or companies with exemplary practices to benchmark against. This can include direct competitors or firms from different industries with similar processes.
3. Collect Data:
    - Gather quantitative and qualitative data on the selected benchmarks. This may involve site visits, surveys, interviews, and reviewing industry reports.
4. Analyze Data:
    - Compare Youngone PLC's processes and performance metrics with the benchmarking data. Identify gaps and areas for improvement.
5. Develop Action Plans:
    - Create actionable strategies to implement best practices and close performance gaps. This might involve process reengineering, staff training, or investment in new technology.
6. Implement Changes:
    - Execute the action plans while ensuring continuous monitoring and adjustment. Engage employees in the process to ensure buy-in and smooth implementation.
7. Monitor and Review:
    - Regularly review the impact of the implemented changes and adjust the strategies as needed. Continuous benchmarking ensures that the company keeps up with industry trends and maintains its competitive edge.

By leveraging Zoland's advantages and implementing a robust benchmarking programme, Youngone PLC can enhance its operational efficiency, quality, and competitiveness as it expands into new markets.

Answer to the Question# 5(a):

(i) Buyers

- Demand for PRAN's product by the supermarkets, sandwich shops etc. will be derived from the demand by the end consumer.
- Individual consumers in a retail market will have low buying power/influence in relation to the size of the industry and brand loyalty seems high.
- PRAN's corporate buyer will have more power:
    - Large supermarkets will have greater power and more stringent requirements than small independents.
    - With large supermarkets who are both buyers and competitors for own-brand products there is a danger that they may choose to promote own-brand products rather than PRAN's.

Implications for PRAN

PRAN has become increasingly reliant on large supermarkets, which now contribute 60% revenue and are the sole stockiest for the one liter take home market. As a result, it will be important to foster good relations with these buyers.

PRAN could strengthen the relationship and reduce the risk by agreeing to produce own-brand smoothies for one of the supermarkets' premium ranges. Consideration however needs to be given to the lower profit margin on own brand products and to the competition from existing suppliers of own-brands to supermarkets.

In addition, it will be important for PRAN to continue to look after the smaller, independent shops which were their initial buyers. It would be easy to start neglecting these because of the relatively small proportion of turnover they account for individually but the collective value to the business is still around Tk 2.7m at 40% of revenue.

(ii) Suppliers

- Distribution: As the sole distributor, City solution currently have considerable power and influence.

Implication for PRAN

PRAN is currently very reliant on City Solutions. One way to reduce this reliance would be to investigate alternative distribution channels and the switching costs that would be involved in changing this supplier. Alternatively, PRAN need to continue to build their relationship with CS as one of partnership, rather than that of a traditional supplier.

- Suppliers of fruit: there seem to be plenty of suppliers, spread across the world, many of whom are likely to be small with limited power. There is no information to suggest that fruit is a scare resource. Fruit also is largely homogenous, commodity type, product so switching costs are likely to be small.
- The suppliers may be more likely to support PRAN rather than sell to alternative drink producers due to their desire to be sustainable and because of the possibility of receiving charitable fundings.
- As a result, their overall power is likely to be low.

Implications for PRAN

As PRAN wants to produce a premium product they need to ensure they are getting the pick of the crop. They would be advised to source supplies from a number of different countries so they reduce the risk of being affected by poor weather/harvest in one particular location.

- Suppliers of labor: PRAN currently operate with a small team who is treated as part of the family. Individually the staff are unlikely to wield much power.

PRAN rely on staff for new recipe ideas and will need to continue to develop and encourage that creativity. Given the open and informal way that the business is run they would not want to lose staff to a competitor. However, PRAN's attitude to staff as demonstrated by the investment in their welfare should mean they do not have a retention problem.

(iii) Competitors

- As the smoothie market is currently growing, there are sales available to all. Once market grows slows, rivalry is likely to increase.
- Power relies on the ability to promote the brand to consumers.
- Currently no competitor is producing an identical product to PRAN's smoothies, due to their 100% pure stance.
- The major competitor currently has a 27% market share. Their product is similar to PRAN's but retails at around 40p cheaper as it includes juice from concentrate.
- There is a danger that Frooty or another smaller competitor gets taken over by a larger food and drinks business they may get greater backing/resources etc.
- The other key players in industry are the supermarkets who collectively have a 29% share with their own brands. They will have much larger resources and marketing power etc., which would allow them to bring out a 100% pure own brand product and promote it as the expense of PRAN's product.

Implications for PRAN

They are operating in a very competitive market and need to protect their competitive advantage by continuing to innovate. Diversification of the product range may lead to increased product awareness and reach a wider range of customers. They could also make more use of point-of-sale advertising to promote brand loyalty. PRAN would be advised to monitor market activity on a regular basis, especially that of their closest competitor.

Answer to the Question# 5(b):

Ethics

The ethical stance of PRAN can be looked at on both an individual and a corporate level.

- Individual – concerns SJ's and JS's actions in managing the business
- Corporate – looks at the extent to which PRAN have gone beyond the minimum legal and corporate governance obligations.

On an individual level, SJ and JS want to work for themselves rather than for a large corporate because their primary concern is that they are able to do something they enjoy and believe in. As such they are looking to earn a comfortable living from the business rather than to maximize short-term profits. This also evidenced by their commitment to the long-term and the absence of plans for an exit route.

This individual integrity and moral stance them influences the mission and objectives of the business, which reflect the beliefs and values of the founders who want to operate as an informal, open and ethical company.

PRAN's mission statement is 'to make juice that are healthy and that people will enjoy drinking. They will be produced in as socially and environmentally friendly a way as possible'.

This mission reflects the desire of the two founders to make a difference to people like themselves by delivering a convenient, healthy product. It also demonstrates the fact that they are attempting to include the wider interests of stakeholders by taking account of the impact PRAN's actions have on the society around it.

This is evidenced in Bangladesh by giving away drinks to the homeless and by their support for holiday programs and by the 10% profits donated to fund projects. As a result, PRAN's approach to creating a sustainable business can be seen to take account not just of the expectations of the Bangladesh Govt and society buy also other parts affected by their operations.

Company's mission and objectives

Products

The stated aim is to produce a 100% pure product with no additives or preservatives, which is healthy for consumers.

Staff

The founders want PRAN 'to be a fun place to work' and promote teamwork as one of the key values. The sabbaticals, awards etc. suggest that they treat employees like 'one of the family'.

Environment

The company objective is 'to minimize any negative impact on the environment'.

This has led to the company investing in technology to produce bottles and cartons that are 40% recycled plastic. They promote recycling via their cartons and website and they take an environmentally friendly approach to energy consumption: the company car is electric and they use 100% renewable energy supplier.

Marketing

The smoothies market is a small market segment within the soft drinks industry. PRAN drinks are only company currently producing a 100% pure fruit product. Their product has a relatively higher selling price than competitors and is placed at the premium end of the market. As a result PRAN drinks could be said to be operating a differentiation strategy in a niche market.

PRAN's ethical stance has given them a unique position in the market place.

This competitive advantage can be seen in their rapidly growing revenue and market share. Revenue has grown more than tenfold in two years and market share has increased from 4.2% to 24.5%, despite PRAN's product being the most expensive on the market. They now hold the second largest share of any individual business.

Production and costs

- The ethical approach is likely to have had short term impact in terms of higher costs
- More expensive cost of sales
- Shorter shelf life and therefore higher wastage
- Technological investment required to develop recyclable packaging

To make a further analysis it would be necessary to have information about he competitor's cost structures. It is unclear whether PRAN are able to pass all the extra costs on to the wholesalers/consumer although we are told that the recommended retail price is 40p cheaper than competitor.

PRAN's profits are also reduced by the higher staff costs although their human resources policy is likely to enable them to attract and keep the best staff, which will help them with innovation and product development.

After a sizeable loss in the first year, PRAN has become profitable, albeit the rapid growth has placed strain on cash flow, despite the introduction of the further Tk 100,000 loan SJ in 2022. The bank overdraft at the end of each of 2021 and 2022 at around Tk 94,000 is close to the Tk 100,000 overdraft facility although there is a significant improvement in 2023.

The donation of profits will reduce cash and available reserves but will help maintain their reputation and visibly position them as an ethical company.

Summary

The company's desire to be sustainable seems to have had short-term costs in terms of profitability and cash flow but has paid off in strategic position and market growth. Their start up is well timed as it coincides with increased consumer interest in healthy eating and concern for food safety and the environment. PRAN should see long term benefits provided by that they are able to sustain their competitive advantage. Future success will continue to depend on their reputation, which is linked to their ability to innovate.

Answer to the Question# 5(c):

Expansion issue

There are a number of general issues that SJ and JS should consider if they are to expand the business:

- As the business gets bigger it will become more difficult to control.
- Retention of an open and informal structure is important to them. As a larger business they may lose feeling of a small family team and inevitably have to become more corporate in outlook.
- Any change will have an impact on the staff. Given the importance they place on the team, SJ and JS should ensure that the change is carefully communicated and managed.
- Expansion is likely to require a further injection of finance. This could come from savings, new borrowings or new investment. As the owners have already injected their spare capital and given personal guarantees it may be difficult for them to provide more finance.
- Any new investment e.g. by a business angel would reduce their control and may end up introducing a stakeholder with different or conflicting objectives e.g. with regard to exit.
- New borrowings would require security and evidence of a business plan, taking into account the need to repay the existing and new finance.
- Expansion may place a strain on the IT, communication and management information systems.
- The business has done well so far because the timing suits the general trend in society for health and fits with various government initiatives in this area. PRAN produce a premium product and may suffer if there is a downturn in the economy or if consumers tire of their currently fashionable products.

- Future success depends on their ability to sustain a competitive advantage. It would not be difficult for competitors to follow suit and copy PRAN's ethical approach.
- The Boston Consulting Group matrix could be used to analyze PRAN's position in terms of market attractiveness and market strength:
    - Market attractiveness – the smoothie market has been experiencing high growth and is forecast to grow by a further 51% in 2025. This is likely to attract new entrants.
    - Market strength can be measured by PRAN's market share relative to the market leader.
    - This would suggest that PRAN smoothie are set to become a 'star' and that PRAN will need to invest heavily to hold this position/build upon it.
    - There are few barriers to entry so an existing large soft drinks manufacturer with economies o scale could easily develop a product and compete away excess profits.
    - PRAN could go for organic growth but should also consider the possibility of entering into corporate arrangements that may reduce the risks of expansion.

Answer to the Question# 5(d):

Report to the Directors of PRAN Drinks Ltd

To	Directors
From	A N Accountant
Date	Today
Re	Strategic plan for PRAN Drinks

Since it incorporated in 2021, PRAN Drinks has enjoyed rapid growth in sales and market share. This report considers the future direction of the company and in particular the specific plans put forward by the directors.

1. Juice bars

This strategy is one of market diversification by downstream vertical expansion.

Suitability

- In keeping with current trends for health and fitness e.g. people trying to reduce caffeine consumption and increase daily fruit and vegetables.
- This would benefit the brand by making it more widely available and better known on the high street.
- There is already strong competition from lots of other delis, sandwich shops and coffee bars.
- This strategy is likely to require an amendment to the mission statement that currently focuses on the production of smoothies.

Acceptability

- A chain of juice bars would require quite a high investment in terms of premises etc. so risk are quite high e.g. there might be penalty clauses for withdrawing from leases.
- Demand for juice in a high street bar may be seasonal which would increase the risk attached to PRAN's cashflows.
- There is a possible risk of health and safety issues due to contamination that may damage PRAN's reputation.
- JS is likely to be resistant to this option due to her attitude to risk.

Feasibility

- PRAN already know that their product is in demand
- Management lack expertise of running such an establishment and would need to hire staff.
- Does PRAN have any core competencies in retailing management even is staff are hired in?
- PRAN would need to locate and probably lease suitable premises.
- The cash flow required for a chain of Juice bars would be significant.

2. Wider product range

Using the Ansoff matrix, this strategy is one of product development – selling new products to existing markets.

Suitability

- This strategy is consistent with PRAN's current mission, objectives and brand image.
- It strengthens PRAN's reputation for innovation/creativity.
- It fits in with government campaigns targeting obesity in the general population and in children.
- Suggested products are consistent with the existing acceptance criteria for 100% pure ingredients and a healthy product, although the health drinks may not be simple and great tasting.
- The children's range is likely to address increasing parental concerns re additives etc.
- Organic products are consistent with PRAN's desire to avoid a negative impact on the environment.

Acceptability

- This strategy is probably the lowest risk as it makes use of PRAN's existing resources and core competences.
- This is likely to meet with least resistance from the various stakeholders.
- There is a risk that some consumers may switch from existing PRAN smoothies to the new brands and that some sales may be replacement rather than incremental.
- There is a risk that competitors may copy these products or alternatively that they may introduce them first if PRAN does not.

Feasibility

- PRAN will be able to use their existing distributor and stockists
- They will require increased spending on product development and marketing
- The suggested products may involve more regulations and therefore be more costly due to screening requirements
- PRAN may need to take on staff with medical/nutritional expertise
- The timing of the launch will be important e.g. launching the health drinks in January would fit with the general increase in people 'detoxing' at this time of year.
- Market research is required to establish the size and nature of the market for the new products.
- Competitor analysis will be needed to ascertain the incumbent suppliers in these markets. Does PRAN have any particular core competences in producing and selling these products compared to those companies already doing so?

3. European sales expansion

Using Ansoff matrix, selling PRAN's existing product, smoothies, in the Southeast Asia market would constitute market development.

Suitability

- This strategy is consistent with PRAN's current mission and objectives.
- It capitalizes on PRAN's currently successful product/brand.
- The South-East Asian lifestyle and climate is very different from that of Bangladesh. Consumers tend to prefer fresh produce not commercially packaged and there is plenty of fruit available for people to make their own juice/smoothies. The success of the product will depend on to what extent convenience is valued.

Acceptability

- There is cultural risk that the product may not work due to the different climate and lifestyle. Certain flavors/recipes may be less popular and there may be problems with brand names in certain languages.
- Transporting the product overseas increases the risk of perishability and wastage.
- This strategy will expose PRAN to exchange risk that will need managing.

Feasibility

- The PRAN brand name is currently unknown in Europe.
- it is unclear whether the existing production facility has the capacity to supply the European market.

- PRAN may need to consider moving production overseas due to the product's short shelf life.
- There is not the same emphasis on supermarket shopping and the absence of large supermarkets and out of town stores may cause a problem.
- PRAN will need to establish a new distribution network.
- This strategy is likely to require marketing spend.

4. Conclusion and recommendations

Before any decision is made, forecasts need to be prepared to assess the returns and risks from the various strategies. The strategies suggested are not mutually exclusive, although are likely to require additional management expertise as managing the growing Bangladesh business will probably take all the current time available.

The least risky option is to expand the product range as this uses PRAN's existing resources and competences. If PRAN decides to expand into Europe, it would be best to undertake this gradually and concentrate in the first instance on countries closest to Bangladesh where the culture is similar. The juice bar strategy would be more sensible if undertaken as a joint venture with an existing chain of coffee bars/deli that wants to add juices and smoothies as an extra product line.

All the strategies need to be seen against a background of rapid expansion in the company's existing markets for 2024. Any of the proposal may therefore lead to excessive expansion or overtrading if not appropriately resourced. Thus, a strategy may be desirable, however, for a small and young company, with inexperienced management and rapid growth in its current markets, caution is necessary in assessing whether a good strategy could be successfully implemented.

---The End---